

CHAPTER 12

Files, Documents, and Source Material



WHYYOUSHOULDGIVEAIDOCUMENTS,NOTDESCRIPTIONS There is a consistent pattern in how people under-use AI: they describe the document instead of providing it.

"I have a market research report that says our target demographic is 25-34..."

"Based on our company values, which include innovation and customer focus..."

"Our pricing is roughly in the mid-range for the sector..."

These descriptions are always incomplete. They filter the document through the user's current focus and omit everything that doesn't seem immediately relevant, including things that might matter.

When you provide the actual document, AI can read all of it. It can notice things you didn't highlight. It can extract the specific data point you forgot to mention. It can identify tensions between different sections that your description smoothed over.

Provide documents, not descriptions of documents.

WHAT A I C A N D O W I T H D O C U M E N T S The practical capabilities, as of late 2026:

Summarise, Extract key points, findings, or decisions at a specified level of detail.

Extract, Pull out specific information: all the action items from meeting notes, all the financial figures from a report, all the dates and deadlines from a contract.

Analyse, Identify patterns, inconsistencies, risks, or significant points: flag anything in this contract that differs from our standard terms; identify which sections of this report have the weakest evidence.

Compare, Compare multiple documents: these two supplier proposals against the same set of criteria; this year's report against last year's.

Answer questions, "What does this contract say about notice periods?" "What is the research paper's conclusion about the effect of X on Y?"

Rewrite or adapt, Take an existing document and adapt it: rewrite in simpler language; convert to a different format; update with new information.

WHAT TO WATCH OUT FOR WITH DOCUMENTS AI can make mistakes when working with documents, and those mistakes can be difficult to spot:

Hallucinating content, AI may generate a plausible-sounding claim about a document that is not actually in the document. Always verify specific extracted facts against the original.

Missing important nuance, AI may summarise a complex legal or financial document in a way that loses critical nuance. "The contract allows termination with 30 days notice" may be accurate but miss that this only applies to non-performance situations.

Incorrect numbers, AI sometimes misreads or miscalculates figures in documents. Any number extracted from a document should be verified against the source.

Losing track of long documents, Very long documents may not be fully attended to. Important information in the middle or end of a very long document is more likely to be missed than information at the beginning.



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VERIFY AFTER ANY SIGNIFICANT EXTRACTION OR ANALYSIS TASK ON A DOCUMENT

1. Check at least two specific extracted facts against the source document directly
2. Ask AI what it considered to be the most uncertain or ambiguous parts of the document
3. Ask AI to flag any information it couldn't find in the document that your prompt might have led it to expect

These three checks catch the most common document- analysis failures.



DOCUMENT TYPES AND HOW TO USE THEM

CONTRACTS AND LEGAL DOCUMENTS Most useful for: identifying specific clauses, comparing to standard terms, extracting obligations and deadlines, generating a plain-English summary. Always verify: any claim about rights, obligations, or liabilities against the exact contract language.

FINANCIAL REPORTS AND DATA Most useful for: summarising findings, extracting key figures, identifying trends, generating plain-English explanation. Always verify: specific numbers against the source.

RESEARCH PAPERS Most useful for: summarising methodology and findings, identifying key claims, extracting conclusions. Always verify: is this what the paper actually concludes? Has the summary missed important limitations?

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MEETING NOTES AND TRANSCRIPTS Most useful for: extracting action items, producing a summary, identifying decisions made, creating a follow-up email. Watch out for: misattributing who said what, missing an action item from a long transcript.

INTERNAL DOCUMENTS Most useful for: adapting existing content, maintaining consistency, finding relevant previous work. Watch out for: applying information from outdated documents without realising it.

PRO TIP WHEN UPLOADING A LONG DOCUMENT, HELP AI NAVIGATE IT. TELL AI WHICH SECTIONS ARE MOST RELEVANT

"The contract is 22 pages. For this task, the most relevant sections are the Termination clause (section 8) and the Indemnities (section 14). You can skim the rest unless it's relevant." This focuses AI's attention and tends to produce more accurate extraction from the sections that matter.



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